

Tesco plc Discounted Cash Flow Valuation

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Objective:

To further develop my technical understanding of valuation and financial modelling, I independently built a discounted cash flow (DCF) model of Tesco plc using publicly available financial statements and market data.

Company Overview:

Tesco is one of the UK's largest retailers, operating over 3,000 stores and generating annual revenue of approximately £69.9 billion. I selected Tesco for my first DCF model due to its stable cash flows, established market position, and relatively straightforward business model, which made it well suited for developing my understanding of core valuation principles.

Key Assumptions:

- **Forecast period:** Fiscal years 2023-2025 (actual) and 2026-2030 (forecast)
- **Revenue growth:** Gradual decline from 2.5% to 2.0% over the forecast period, reflecting mature UK supermarket conditions.
- **Weighted Average Cost of Capital (WACC):** 6.6%, derived from cost of equity, after-tax cost of debt, and weightings of debt and equity.
- **Terminal Growth Rate:** 2.0%, in line with UK long-term GDP and inflation expectations, reflecting Tesco's mature market position.

Overall Result:

Equity Value	£35,017M
Diluted Shares Outstanding	6736.8M
Implied Share Price	£5.20
Current Share Price	£3.80
Premium/Discount	+36.8%

The DCF model produced an implied share price of £5.20 compared to Tesco's closing share price of £3.80 as of February 2025, indicating potential upside based on the valuation.

Reflection:

Building this model provided practical exposure to financial forecasting, company valuation and Excel-based financial modelling, while improving my understanding of how valuation drivers impact a DCF model.